Synopsys, Inc.

SNPS | Nasdaq Global Select Market | 2026-10-07

Q4 2027 model ceiling: USD 258.86

Analytical Base 46/60 = 77 | High Conviction

20x quarter-plus-next-three fully expensed GAAP operating profit, less fixed USD8,502.78m opening net financial and operating-cash-reserve claims, divided by end-window diluted shares. No forecast cash balance addition.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 502.67 per share (2026-10-07 close); 191.637 million common shares (2026-08-24); estimated equity capitalization USD 96,330.0 million. Latest filing-dated exact issued shares. Subsequent Oct5 ASR initial delivery is approximate and included in the model share schedule, not represented as an exact updated outstanding-share count. This dated common-share snapshot is separate from forecast diluted shares.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	2,918.6	20x	192.650	258.86

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated GAAP operating earnings retain SBC, ordinary D&A and acquired amortization. Debt/cash use consistent consolidated scope. NCI is immaterial in the latest quarter; no separate positive-owner profit adjustment.. 20x quarter-plus-next-three fully expensed GAAP operating profit, less fixed USD8,502.78m opening net financial and operating-cash-reserve claims, divided by end-window diluted shares. No forecast cash balance addition.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

Synopsys has a credible route to earn more from increasingly difficult chip and system designs. Its tools help customers find errors before manufacturing, while its interface IP supplies pre-verified building blocks. The new opportunity is to charge for more simulation capacity, more valuable integrated workflows and production-linked IP. The central constraint is translating engineering necessity into contracts that pay Synopsys, after retaining the engineering, support and stock compensation needed to deliver them.

This analysis uses the September 30, 2026 Investor Day, the complete fiscal Q2 and Q3 management discussions and Q&A, the July 31 financial statements and the October 5 accelerated repurchase. The active Q4 2027 ceiling is **USD258.86 per share**, using **20x forward-four-quarter fully expensed operating profit**, a conservative opening financial-claim reserve and end-window diluted shares. The analytical Base is **77/100**. This is a business-quality score; it does not remove the distinction between operating value and the price investors currently pay.

What the company sells and why qualification matters

The business has three economic engines. Electronic design automation includes implementation, verification, signoff and hardware-assisted validation. Design IP supplies usable circuit blocks, especially interfaces, memories and foundations that must work on a specific manufacturing process. Ansys adds simulation across electrical, thermal, fluid and structural problems. A single customer can buy all three, but that does not create three copies of the same dollar of customer spending.

A chip can satisfy a logical specification yet fail when manufactured. Timing changes with voltage and temperature. Dense interconnect produces parasitic effects. Multi-die packages create thermal, power-delivery and mechanical interactions. Qualified solvers, foundry rule decks, validated models and the experience of identifying obscure failures become valuable because a late error can delay an entire product generation. Switching costs are partly accumulated workflow and qualification costs, not simply a difficult user interface.

Synopsys is nevertheless exposed to competing tools, customer-built design capabilities and alternative IP. Customers can use mixed-vendor flows and negotiate enterprise agreements. A superior result in one task does not demonstrate leadership in every task or unlimited pricing power. Engineers, compute infrastructure and customer support remain scarce inputs to Synopsys itself. The annual report expressly discusses competition on features, support, interoperability and commercial terms, alongside risks from long customer evaluations and hardware supply.

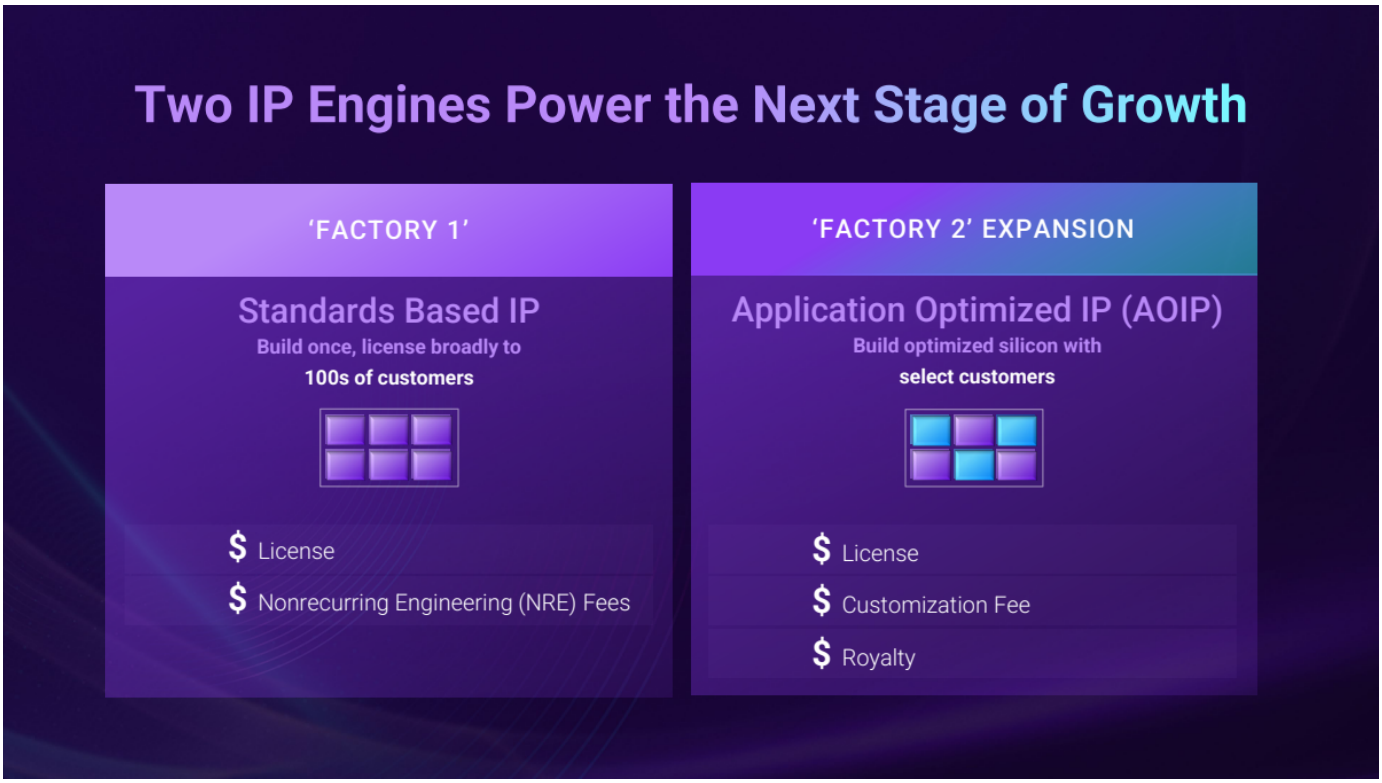
AOIP commercial structure

Application-optimized IP changes the relationship with selected customers. The standard model licenses reusable circuit blocks widely. The deeper model embeds engineering earlier in system definition, customizes the interfaces and participates through license fees, customization fees and royalties. This can capture value previously delivered as support or a limited engineering fee. It also creates delivery obligations and concentrates engineering resources on fewer programs.

At Investor Day, management described an Amazon agreement covering three product generations and approximately USD1bn of license fees over multiple generations. That figure excludes royalties. It is different from management's approximately USD1bn **annual** AOIP revenue objective for fiscal 2030, which includes licenses and royalties. Adding both figures as independent annual revenue would overstate the opportunity.

The relevant paid work concerns interfaces such as high-speed SerDes, PCIe, custom HBM connectivity and die-to-die links. Foundry retargeting can create another license or engineering engagement, but moving a design between foundries does not automatically turn all wafer revenue into an IP royalty. The contract determines what is paid, the designs covered and the point of recognition.

Original source: September 30 Investor Day presentation, page 29.



The two factories sell different rights: broad IP licenses versus customized engagements with license, customization and royalty components. No chip production revenue belongs to Synopsys.

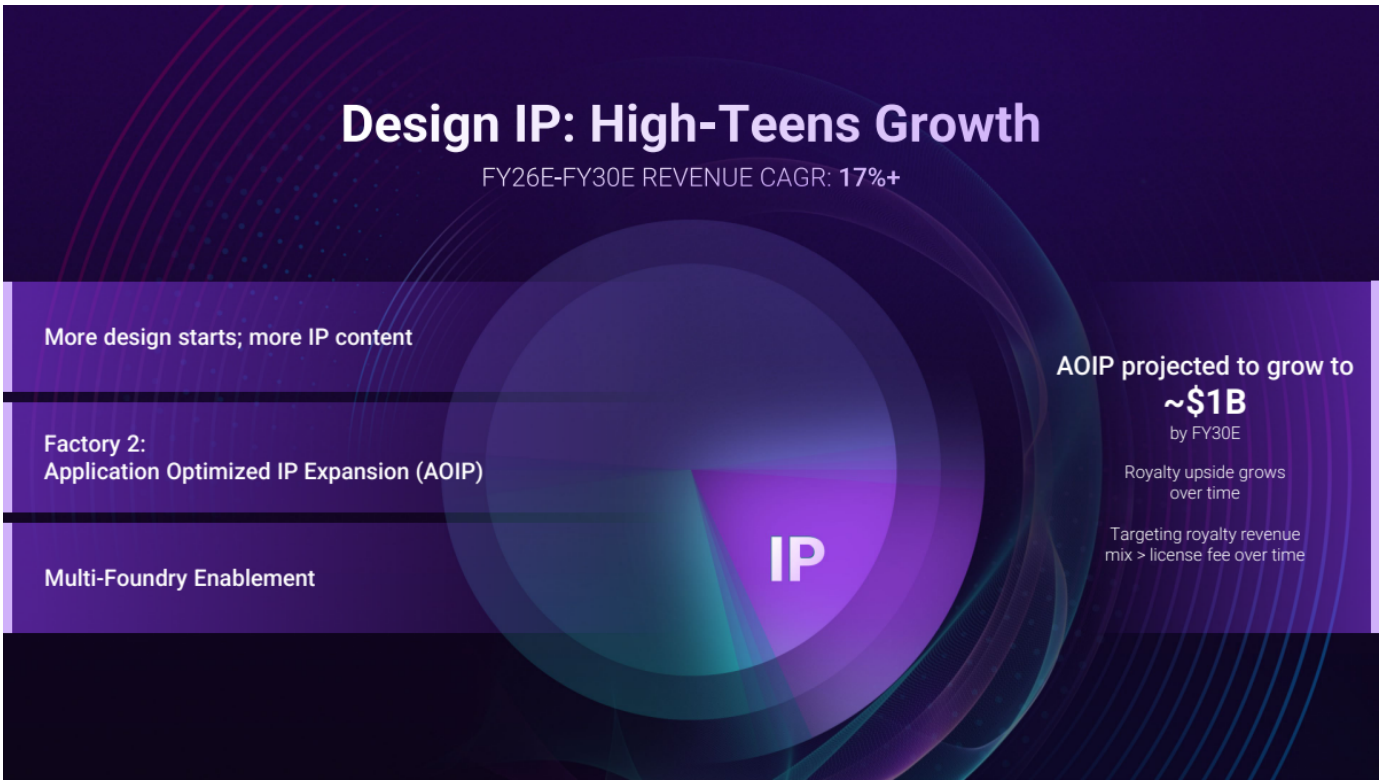
S1 - The two factories sell different rights: broad IP licenses versus customized engagements with license, customization and royalty components. No chip production revenue belongs to Synopsys. Source: Synopsys, September 30, 2026, original slide 29.

AOIP production economics

Management said that AOIP royalties are not a fiscal 2027 revenue driver. They begin in fiscal 2028 and grow into fiscal 2029. The design-to-production interval was discussed as roughly fourteen months for the engagement in question; it is not a universal qualification clock. Customer chip success, production yield and deployment can still move the royalty ramp.

The reference model carries USD150m of AOIP license/customization receipts in fiscal 2027, rising to USD200m, USD260m and USD300m in fiscal 2028-2030. These are explicit allocation assumptions within the total business, not a disclosed Amazon recognition schedule. A **65% production-success branch** adds USD200m, USD440m and USD700m in fiscal 2028-2030. The successful fiscal 2030 wallet is therefore USD1bn; its probability-weighted value is USD755m. The model gives credible contracts and engineering evidence substantial weight while retaining commercialization uncertainty.

The branch converts incremental receipts at 95% gross margin, then spends 25% of incremental revenue on continued engineering, support and compensation. Net operating-profit capture is 70%. Management's description of royalty margin is not interpreted as eliminating the company resources required to maintain the IP. No additional chip-market-share or wafer-capacity branch is added.



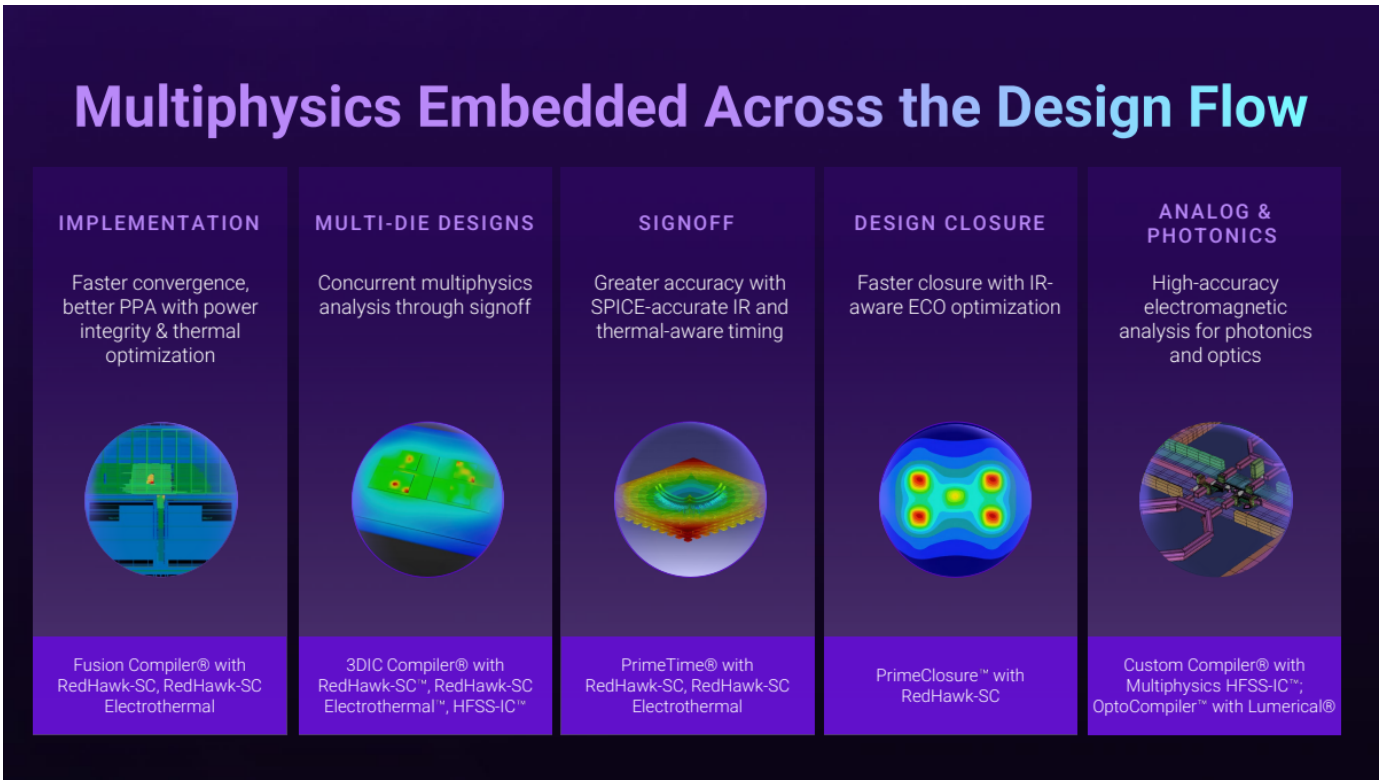
The approximately USD1bn FY30 AOIP figure is an annual management objective including license and royalty mix, distinct from Amazon’s multigeneration license agreement.

S2 - The approximately USD1bn FY30 AOIP figure is an annual management objective including license and royalty mix, distinct from Amazon’s multigeneration license agreement. Source: Synopsys, September 30, 2026, original slide 38.

Physics-qualified design flow

The useful Ansys integration is a change to the workflow. Putting power, thermal and electromagnetic analysis into implementation can identify problems before final signoff. Earlier feedback can reduce repeated design iterations, while final validation still checks the candidate against the manufacturing rules. The economic bridge is a paid new capability, broader consumption or a more valuable renewal.

The software does not create saleable chips merely because a simulation converges. Models must represent the customer's actual structure, material assumptions and manufacturing process. PDK changes and qualification work continue. Nor is the complete cost of a failed chip a reasonable license-price assumption: customers compare alternative tools, engineer time, schedule risk and their own negotiating leverage.



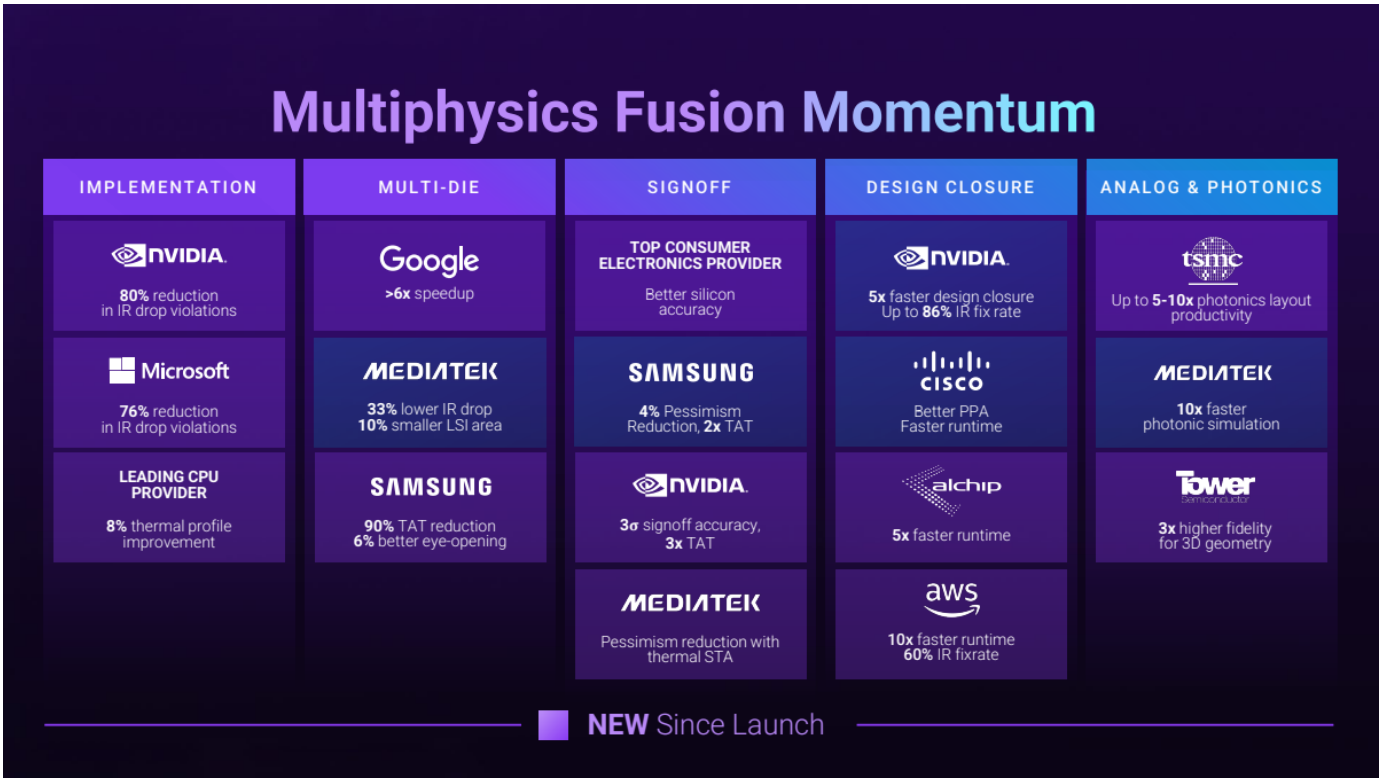
Power integrity, thermal, electromagnetic and photonics solvers move earlier into the design flow. Product integration can support renewal value; it does not eliminate manufacturing validation.

S3 - Power integrity, thermal, electromagnetic and photonics solvers move earlier into the design flow. Product integration can support renewal value; it does not eliminate manufacturing validation. Source: Synopsys, September 30, 2026, original slide 49.

Product evidence and limits

The original customer chart is useful because it names particular tasks. It attributes an 80% reduction in implementation IR-drop violations to NVIDIA, more than sixfold multi-die speedup to Google, and a 4% pessimism reduction with twice the turnaround to Samsung signoff. TSMC's photonics example concerns layout productivity. These are separate issuer-reported customer examples, measured against different baselines. They are not an independently standardized benchmark set.

That distinction changes the analysis. The evidence supports adoption and customer willingness to examine a paid upgrade. It does not justify applying the largest speedup to every customer, license or dollar of revenue. Renewal outcomes, attachment rates and measurable incremental bookings are the next financial tests.

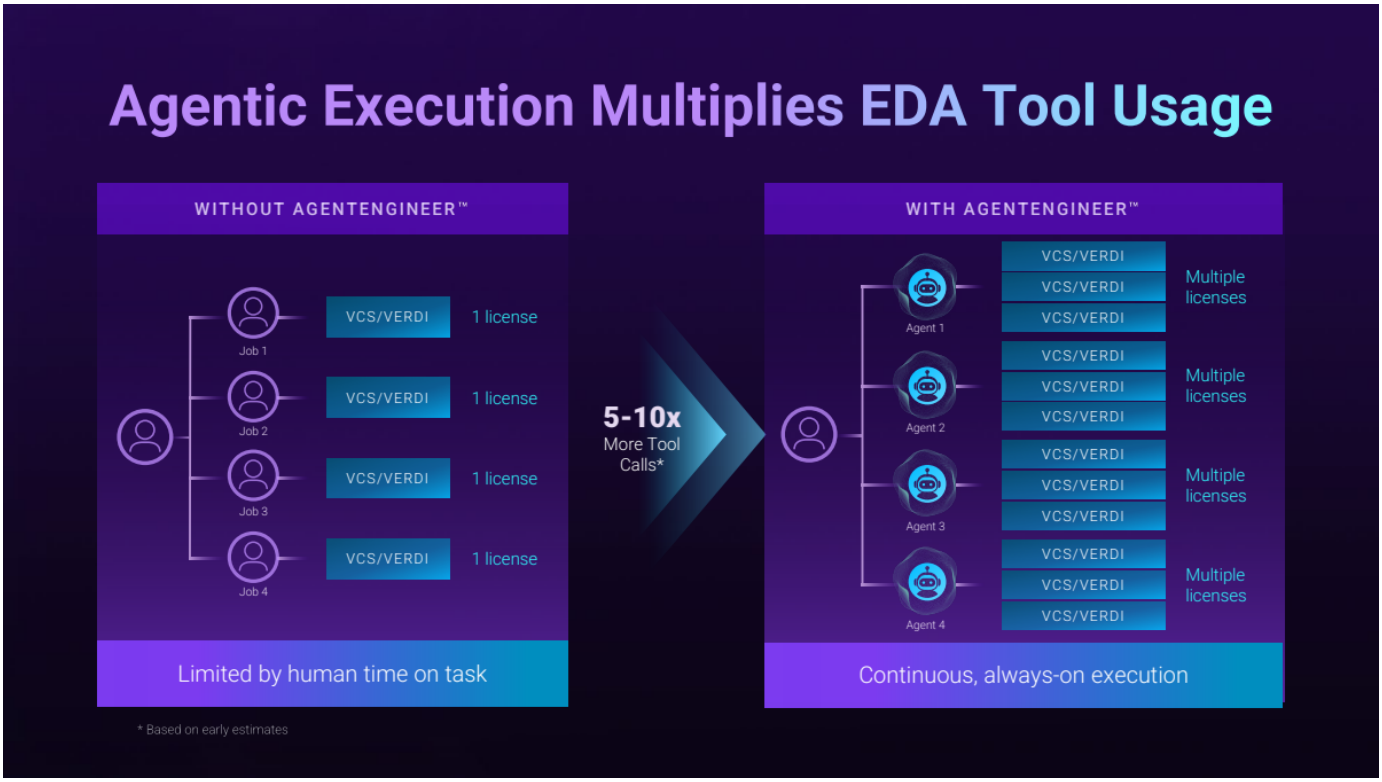


Issuer-reported customer examples use different tasks and baselines. NVIDIA implementation IR-drop reduction, Google multi-die speedup and TSMC photonics layout gains are not interchangeable benchmarks.

S4 - Issuer-reported customer examples use different tasks and baselines. NVIDIA implementation IR-drop reduction, Google multi-die speedup and TSMC photonics layout gains are not interchangeable benchmarks. Source: Synopsys, September 30, 2026, original slide 50.

AI capacity and monetization

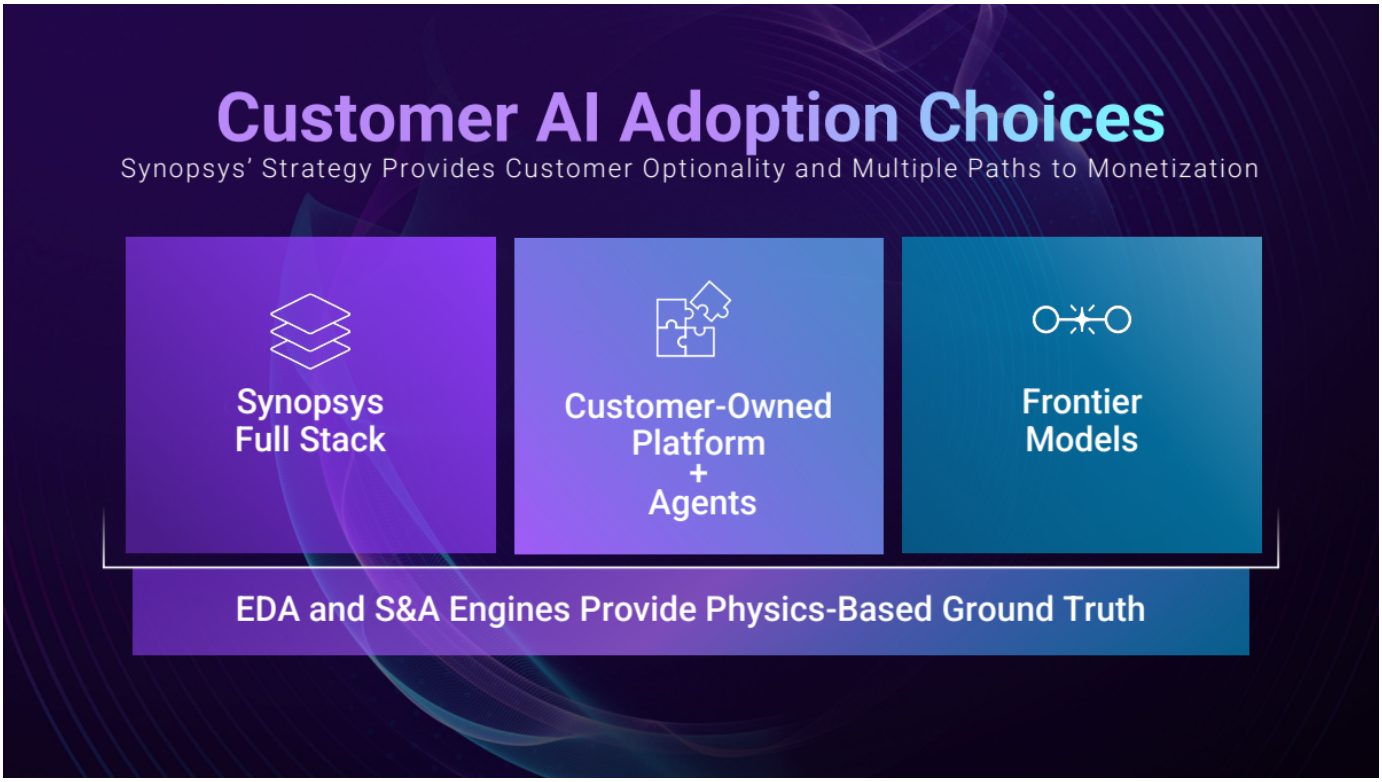
Agents can run more experiments than a human-operated workflow. They can explore alternatives, generate candidates and invoke verification repeatedly. Synopsys' VCS/Verdi illustration estimates five to ten times more tool calls in a particular early workflow. Tool calls, licensed capacity, revenue recognition and customer value are different units. A customer with spare subscription capacity may initially run more work without a proportional increase in recognized revenue.



The 5-10x figure refers to early estimates of VCS/Verdi tool calls in a particular agent workflow, not a company revenue multiple or universal license-price increase.

S5 - The 5-10x figure refers to early estimates of VCS/Verdi tool calls in a particular agent workflow, not a company revenue multiple or universal license-price increase. Source: Synopsys, September 30, 2026, original slide 63.

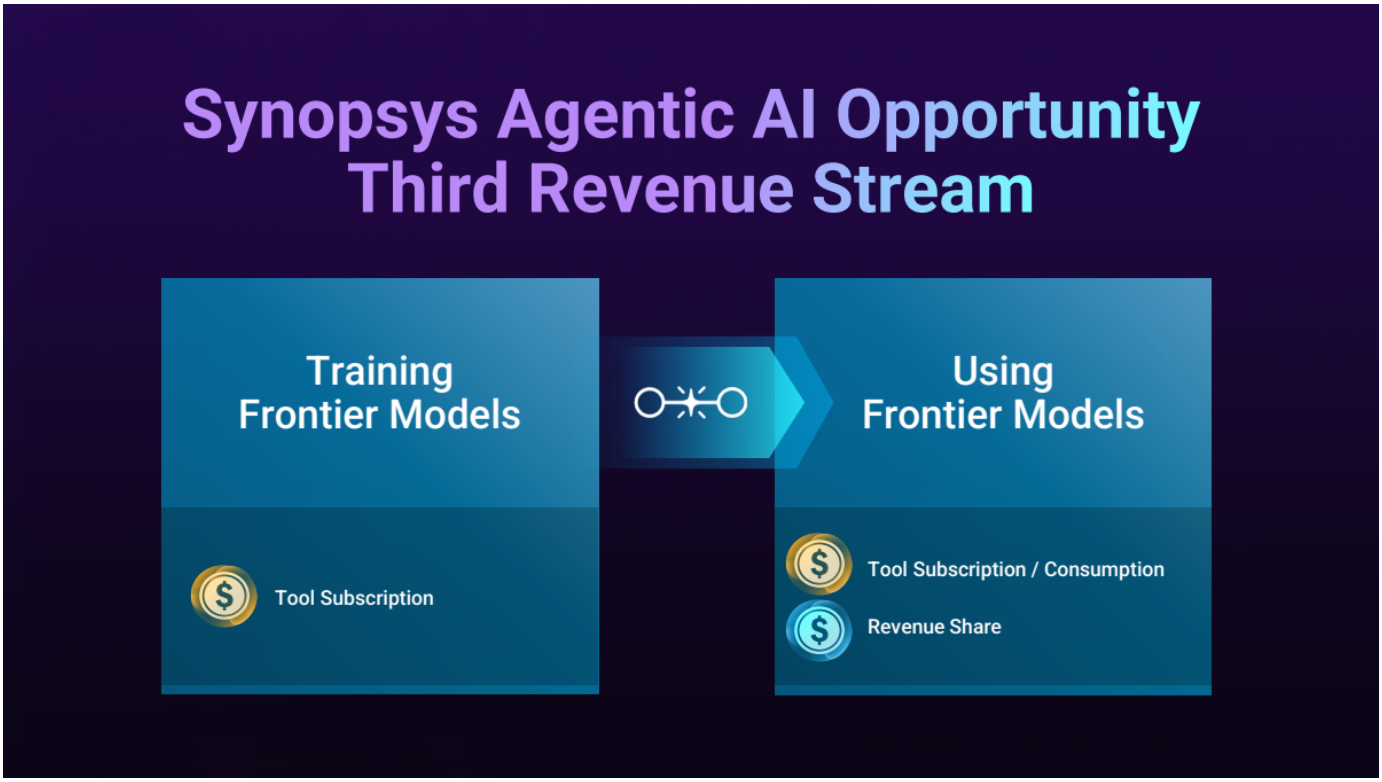
The company offers three broad routes: its own stack; tools and agents inside a customer's platform; and frontier-model services. Management said most current exploration is in the customer-owned route. That preserves an opportunity to sell qualified engines and selected agents even if Synopsys does not own the orchestration layer. It also means the company cannot assume that every customer buys the entire stack.



Customers can use Synopsys' full stack, their own agents, or frontier-model services. Tool engines remain monetizable, but economic terms differ by route.

S6 - Customers can use Synopsys' full stack, their own agents, or frontier-model services. Tool engines remain monetizable, but economic terms differ by route. Source: Synopsys, September 30, 2026, original slide 67.

The OpenAI arrangement adds a possible service and revenue-sharing route. Its commercial rates, costs and eventual adoption are not public. There is also a practical data boundary: sensitive customer designs and proprietary tool knowledge must remain protected. Management's statement that physics-based validation remains essential is a persuasive engineering argument, but it is management's position, not proof that competition can never reduce tool prices or usage.



The frontier-model route separates training subscriptions from inference-era tool usage and revenue sharing. Contract rates are undisclosed and are not separately added to the model.

S7 - The frontier-model route separates training subscriptions from inference-era tool usage and revenue sharing. Contract rates are undisclosed and are not separately added to the model. Source: Synopsys, September 30, 2026, original slide 70.

Fiscal 2027 guidance already incorporates AI, multiphysics and paid-capacity expectations. The model therefore adds no separate positive fiscal 2027 AI increment. From fiscal 2028, a **55% renewal branch** applies additional invoice value of 5%, 10% and 15% to only 20% of the legacy EDA pool in fiscal 2028-2030. This is a bounded renewal/consumption assumption, not a published rate increase. At 85% incremental gross margin and 30% incremental operating expense, 55% of the added receipts reaches operating profit.

The same branch covers the overlapping evidence from agents, paid tool capacity and new workflow value. There is no separate multiplier for the five-to-ten-times chart, OpenAI participation or multiphysics. Otherwise several descriptions of one customer budget would become independent demand shocks.

Simulation across industries

Ansys broadens the customer base into industrial equipment, aerospace, automotive and other engineered systems. More simulation can substitute for some physical prototypes and expose failures earlier. Its fluid, thermal, optical and electromagnetic products are relevant to data centers, but Synopsys earns software and service receipts rather than the complete equipment bill.

The company can distribute selected legacy products through Ansys' established channel and integrate direct sales for semiconductor customers. Neither action guarantees a sales increase. Channel incentives, implementation support and the time needed to introduce another product to an existing engineering team matter. The model assumes 8% annual growth for the constant-scope Ansys reference wallet after fiscal 2027, below the broad long-term double-digit objective.



Ansys solvers address fluid, structural, electromagnetic, optical and thermal constraints. Synopsys sells engineering tools; it does not earn the entire equipment or data-center construction wallet.

S8 - Ansys solvers address fluid, structural, electromagnetic, optical and thermal constraints. Synopsys sells engineering tools; it does not earn the entire equipment or data-center construction wallet. Source: Synopsys, September 30, 2026, original slide 81.

Reported results and calendarization

Fiscal Q3 2026, ended July 31, reported USD2,476.822m revenue, USD1,797.434m gross profit and USD1,439.943m operating expenses. Fully expensed operating profit was USD357.491m. This is much lower than the adjusted operating result because acquired-intangible amortization and stock compensation are substantial economic claims on the reported earnings stream. The quarter also contained a divestiture gain below operating profit; it is not recurring operating earnings.

The fiscal Q2 and Q3 calls give a consistent picture of strong AI-related design activity, hardware verification demand and improving IP sequentially, alongside muted non-AI design starts. Backlog movement also reflects renewal timing and the processor-IP divestiture. A lower quarter-end backlog is not automatically a demand collapse, just as a strong hardware quarter is not an indefinitely recurring shipment rate.

From fiscal 2027 the reported EDA grouping gains Ansys semiconductor activity and other products. The analytical model keeps legacy EDA, the Ansys economic perimeter, standard IP and AOIP separate across the transition. The portfolio dates are calendar quarters. Fiscal quarters end in January, April, July and October, so a calendar quarter contains one month of an older fiscal quarter and two months of the next. The model uses that explicit one-third/two-thirds interpolation. It is a timing convention, not a claim that revenue is actually earned evenly every month.



FY27 moves Ansys SCBU and other revenue into EDA. The analytical model keeps a constant economic perimeter so presentation changes do not masquerade as organic growth.

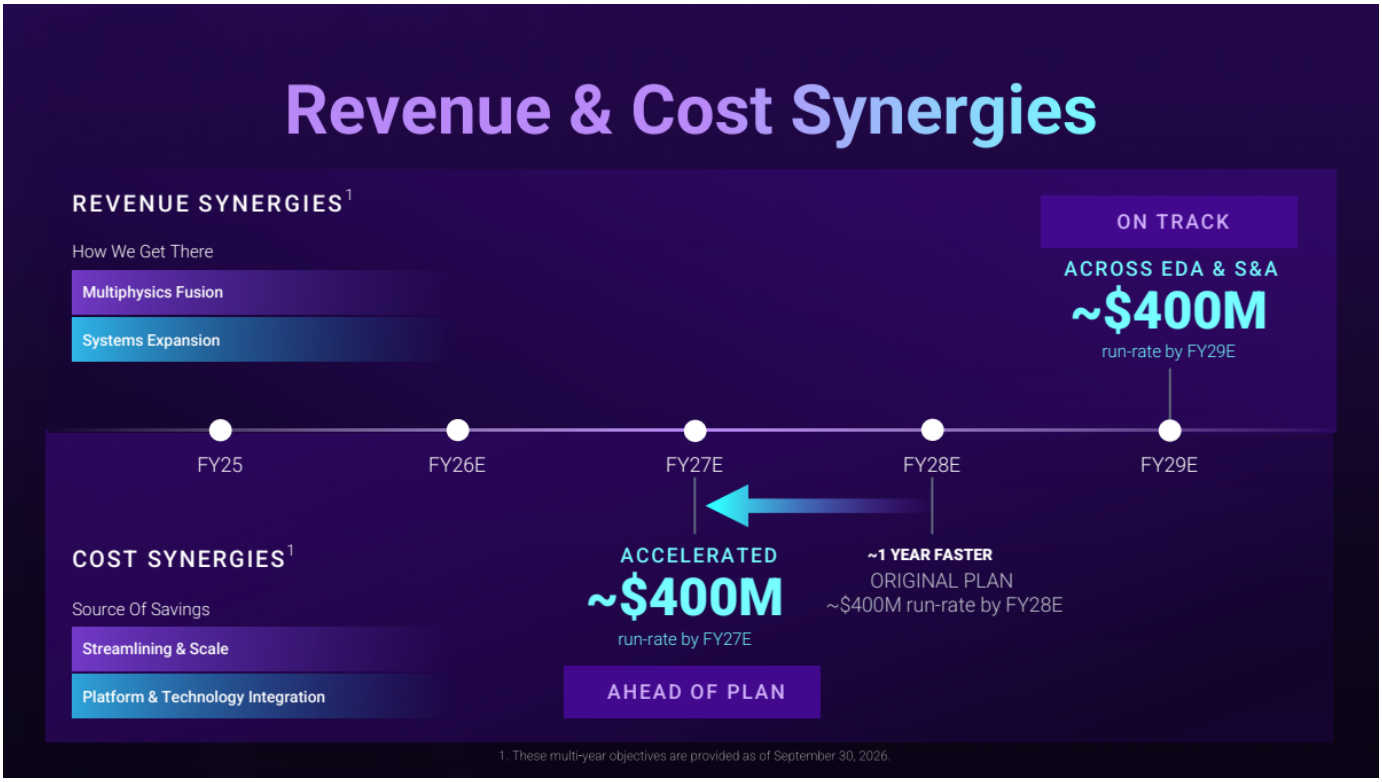
S9 - FY27 moves Ansys SCBU and other revenue into EDA. The analytical model keeps a constant economic perimeter so presentation changes do not masquerade as organic growth. Source: Synopsys, September 30, 2026, original slide 96.

Financial calibration and GAAP economics

The reference fiscal 2027 total is USD11.15bn revenue and USD8.835bn GAAP expense, reproducing USD2.315bn operating profit. Management's 44% non-GAAP margin is not used as a GAAP margin. Its expense bridge excludes USD1.545bn of acquired amortization, USD970m of stock compensation and USD75m of restructuring. All three remain in this model.

The fiscal 2027 allocation is USD5.5bn legacy EDA, USD3.3bn Ansys, USD2.2bn standard IP and USD150m AOIP license/customization. These product allocations are assumptions calibrated to total guidance. Product gross margins are also assumptions. The model explicitly allocates acquired amortization and SBC to COGS and operating expense; the COGS entries have zero revenue and negative gross profit. Nothing is added back when calculating valuation operating profit.

Management's cost-synergy objective is already reflected in the guided expense baseline. The same is true of the contemplated early revenue benefits. The approximately USD400m objectives are not independent additions to that baseline.



Management targets USD400m revenue synergies by FY29 and USD400m cost synergies by FY27. The baseline already includes these ambitions; no second additive synergy branch is used.

S10 - Management targets USD400m revenue synergies by FY29 and USD400m cost synergies by FY27. The baseline already includes these ambitions; no second additive synergy branch is used. Source: Synopsys, September 30, 2026, original slide 98.



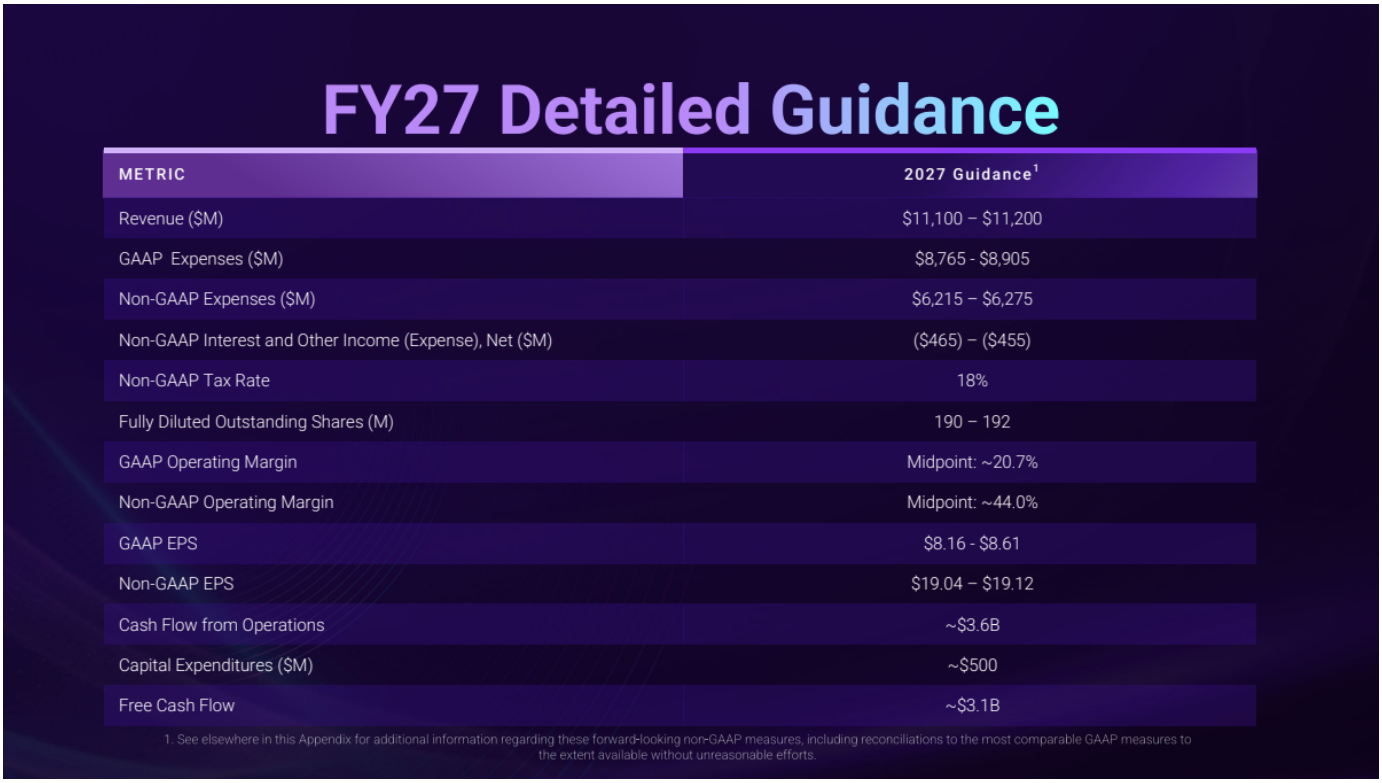
FY27 midpoint GAAP expenses of USD8,835m retain USD1,545m acquired amortization, USD970m SBC and USD75m restructuring excluded from non-GAAP expense.

S11 - FY27 midpoint GAAP expenses of USD8,835m retain USD1,545m acquired amortization, USD970m SBC and USD75m restructuring excluded from non-GAAP expense. Source: Synopsys, September 30, 2026, original slide 116.

After fiscal 2027 the reference grows legacy EDA by 11% in fiscal 2028 and 12% thereafter, standard IP by 8%, and Ansys by 8%. The slower reference growth makes the royalty and renewal branches consequential without requiring complete achievement of the company's mid-teens revenue and 50% non-GAAP margin aspirations. Cash operating costs grow 8% annually. SBC grows 8%; disclosed amortization schedules continue through fiscal 2030. Fiscal 2031 amortization of USD1.37bn is an explicit continuation assumption needed for the final calendar window.

The **30% legacy-budget risk** removes, at full severity, 8% of sales on 40% of EDA and 12% of standard IP. Fiscal 2027 uses 40% of that severity. It removes 84% gross profit on the affected receipts while saving only 10% variable operating expense. Fixed engineering remains. This branch concerns legacy budgets and IP drawdowns, not a second cancellation of the AOIP production wallet.

An independent **25% integration-cost risk** adds USD80m expense in fiscal 2027 and USD40m in fiscal 2028. It captures extra retention, support or integration expense above the guide. It does not count the existing restructuring expense twice.



Fiscal FY27 guide: USD11.1-11.2bn revenue, about 20.7% GAAP operating margin and 44% non-GAAP margin. The valuation uses fully expensed operating profit. Fiscal years end October.

S12 - Fiscal FY27 guide: USD11.1-11.2bn revenue, about 20.7% GAAP operating margin and 44% non-GAAP margin. The valuation uses fully expensed operating profit. Fiscal years end October. Source: Synopsys, September 30, 2026, original slide 118.

Treasury, dilution and funding

The July balance sheet contained USD3,607.669m cash and short-term investments. Debt carrying value was USD10,037.360m; using note face values plus deferred treasury-lock and other claims gives USD10,110.449m. Large note maturities include USD1bn in April 2027, USD1bn in April 2028 and USD2bn in April 2030. Operating lease expenses stay in operating profit; lease balances are not separately capitalized and deducted again.

On October 5 the company executed a USD1bn accelerated repurchase, rather than merely repeating an authorization. The announced initial delivery is approximately 1.735m shares, with final settlement expected by January 5, 2027. The funding bridge pays the full USD1bn. The share schedule credits only that initial delivery and reserves net award issuance of 0.25m shares each quarter thereafter. It does not assume a favorable final repurchase price, further general buybacks or an automatic disappearance of SBC dilution. The previously issued NVIDIA investment shares are already in the starting common-share count.

The valuation holds an intentionally conservative USD8,502.78m opening claim deduction: USD10,110.449m financing claims plus a USD1bn operating reserve, less July liquidity after the full ASR payment. Forecast cash generation receives no extra valuation credit. Paying debt with cash does not generate a second value benefit. This fixed reserve is a valuation convention, not a prediction that reported net debt remains unchanged.

The separate funding bridge uses 18% cash taxes on modeled pretax operating earnings, approximately 5.1% interest on remaining debt and a 6% revenue cash-conversion reserve for working capital and other cash differences. It retains ordinary capital expenditure, the ASR and maturities. Reference fiscal 2027 cash generation is approximately USD3.57bn before USD500m capex, close to the official USD3.6bn CFO and USD3.1bn FCF guide; active adverse branches reduce that result. No uncommitted lending capacity is required in the modeled downside. Liquidity estimates are conditional forecasts, not reported balances.

Executed ASR source, October 5. Primary July 31 Form 10-Q.

What would change the model

The strongest positive evidence would be paid renewal expansion that separates more capacity from price, disclosed AOIP royalty-bearing shipments, and Ansys integration producing repeatable margin improvement without starving engineering. The strongest negative evidence would be weaker paid usage despite rising tool calls, delayed custom-chip production, additional export restrictions, or support and compensation costs absorbing the incremental wallet.

The model does not require an official price announcement before recognizing potential value capture. It does require the right paid unit and a cost bridge. The remaining unknowns are therefore specific: royalty rates and eligible shipments, license-recognition schedules, contract cancellation terms, customer data restrictions, the renewal pool that is actually repriced, and final ASR settlement.

The Base calculation is Core 18, Cycle 8, TAM 8, Catalysts 4, Macro 8, Alpha 4 and Risk -4: **46/60, rounded to 77/100**. The score recognizes qualified tools and engineering position while retaining meaningful penalties for monetization, integration and financial claims. It is separate from the chosen 20x operating-profit valuation.

Fiscal annual cross-check

USD millions. These are model outcomes; only the fiscal 2027 reference total is calibrated to official guidance.

Fiscal year	Reference sales	Active sales	Reference GAAP OP	Active GAAP OP	Active margin
2027	11,150.0	11,097.2	2,315.0	2,255.9	20.3%
2028	12,245.0	12,264.4	2,989.5	2,982.3	24.3%
2029	13,512.8	13,716.0	3,611.0	3,735.6	27.2%
2030	14,886.5	15,294.6	4,265.2	4,524.9	29.6%

Eighteen-quarter funding bridge

USD millions, active modeled path. The first row includes only August-September cash flows because July is already in the opening balance. Closing cash is not separately added to the valuation.

Calendar quarter	CFO	Capex	ASR cash	Principal paid	Closing cash	Closing debt
Q3 2026	458.3	37.5	0.0	6.2	4,022.3	10,104.2
Q4 2026	861.7	102.1	1,000.0	6.2	3,775.7	10,098.0
Q1 2027	837.1	125.0	0.0	6.2	4,481.6	10,091.8
Q2 2027	835.0	125.0	0.0	1,006.2	4,185.4	9,085.6
Q3 2027	897.3	125.0	0.0	6.2	4,951.4	9,079.4
Q4 2027	1,026.2	131.7	0.0	6.2	5,839.8	9,073.2
Q1 2028	956.5	135.0	0.0	6.2	6,655.1	9,067.0
Q2 2028	958.0	135.0	0.0	1,006.2	6,471.9	8,060.8
Q3 2028	1,027.8	135.0	0.0	6.2	7,358.4	8,054.5
Q4 2028	1,182.5	142.2	0.0	6.2	8,392.5	8,048.3
Q1 2029	1,117.2	145.8	0.0	6.2	9,357.7	8,042.1
Q2 2029	1,124.0	145.8	0.0	6.2	10,329.6	8,035.9
Q3 2029	1,192.6	145.8	0.0	6.2	11,370.3	8,029.7
Q4 2029	1,348.5	153.6	0.0	6.2	12,559.0	8,023.5
Q1 2030	1,274.0	157.5	0.0	6.2	13,669.3	8,017.3
Q2 2030	1,286.1	157.5	0.0	2,006.2	12,791.7	6,011.1
Q3 2030	1,385.4	157.5	0.0	6.2	14,013.5	6,004.8
Q4 2030	1,538.1	165.9	0.0	4.8	15,380.8	6,000.0

Source and method coverage

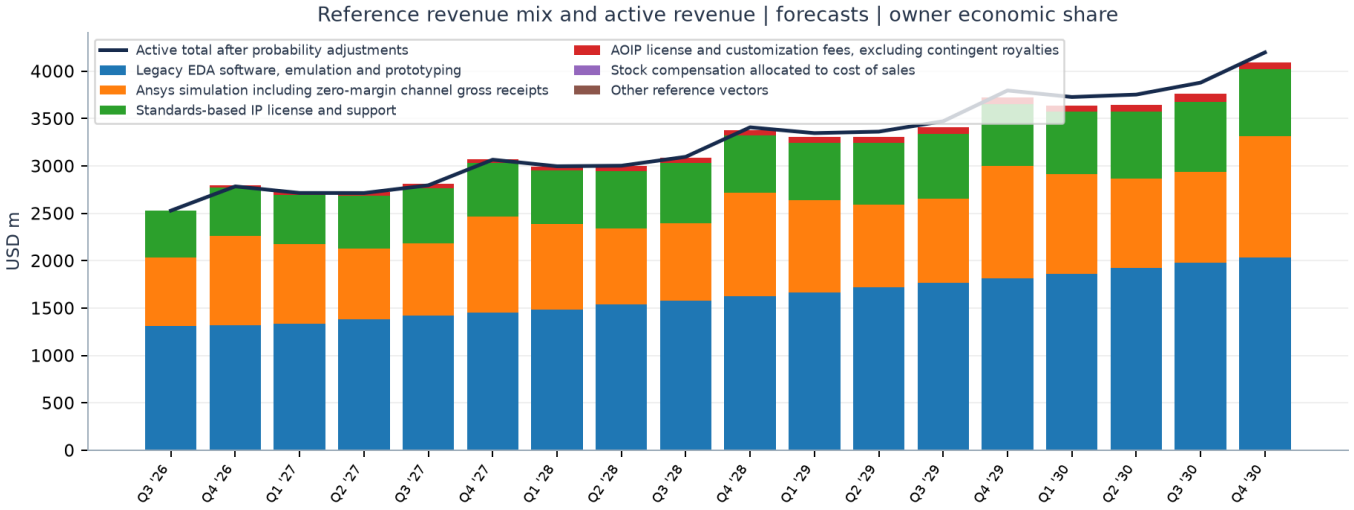
All 119 Investor Day pages were extracted and their contact sheets reviewed; the twelve embedded original figures were inspected at full resolution. Both fiscal Q2 and Q3 calls include complete Q&A, and the Investor Day technical and financial Q&A was read. Failed direct filing downloads are excluded from the valid archive catalog; the SEC filing text was available through the web reader. All product allocations, royalties, probabilities, gross margins and funding assumptions are labeled as such.

- Fiscal Q3 2026 results and GAAP financial statements - 2026-08-26. - September 30 Investor Day long-term model announcement - 2026-09-30. - Fiscal Q2 2026 prepared remarks - 2026-05-27. - 2026 Investor Day original 119-page presentation - 2026-09-30. - Fiscal Q3 2026 complete management discussion and Q&A, Quartr transcription - 2026-08-26. - Investor Day complete management discussion and Q&A, Quartr transcription - 2026-09-30. - Executed USD1bn accelerated repurchase and initial 1.735m-share delivery - 2026-10-05. - Fiscal Q2 2026 complete management discussion and Q&A, issuer spoken remarks transcribed by Motley Fool - 2026-05-27. - Dated closing price, S&P Global data distributed by Stock Analysis - 2026-10-07. - Synopsys original Form 10-Q, July 31 2026, including amortization, debt, shares and SBC notes - 2026-08-26. - Synopsys original 2025 Form 10-K, business and competitive risk disclosures; accessible filing-text mirror - 2025-12-22.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	18	18/20: qualified signoff, foundry rules and silicon-proven IP are difficult to replace; competing tools and customer-owned IP constrain pricing.
Cycle	8	8/10: AI design activity and 2027 guidance improve visibility, while non-AI starts remain uneven.
TAM	8	8/10: growth is built from paid EDA capacity, licensed IP and simulation use; customer chip TAM is not Synopsys revenue.
Catalysts	4	4/5: FY27 renewals, multiphysics attachment, Artemis and royalty-bearing production from FY28.
Macro	8	8/10: AI and system complexity support demand; China export restrictions and customer budgets remain material.
Alpha	4	4/5: separates royalties from multigeneration licenses, calendarizes fiscal statements, and retains GAAP purchase amortization.
Risk classes	-4	-4: royalty execution, integration, agent monetization, privacy restrictions and substantial financial claims.
Total	46/60	Rounded Base 77. Both artifact and new workbook row use this score; this is not a manual override.

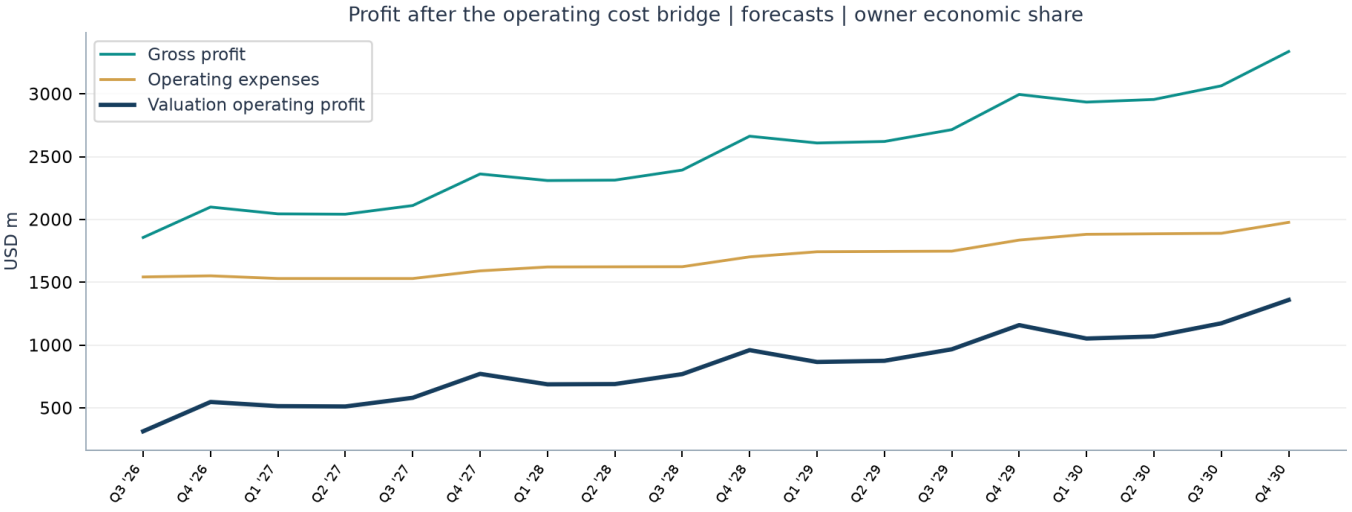
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	2,528.9	0.0	2,528.9
Q4 2026	2,793.0	-8.2	2,784.8
Q1 2027	2,728.0	-12.6	2,715.4
Q2 2027	2,728.0	-13.3	2,714.7
Q3 2027	2,810.0	-13.9	2,796.1
Q4 2027	3,070.8	-4.5	3,066.3
Q1 2028	2,994.8	2.3	2,997.0
Q2 2028	2,997.5	5.4	3,002.9
Q3 2028	3,088.4	8.4	3,096.9
Q4 2028	3,379.5	28.6	3,408.1
Q1 2029	3,303.4	43.4	3,346.8
Q2 2029	3,310.1	52.4	3,362.5
Q3 2029	3,411.4	60.8	3,472.1
Q4 2029	3,721.7	74.9	3,796.7
Q1 2030	3,638.5	89.3	3,727.8
Q2 2030	3,648.6	104.8	3,753.4
Q3 2030	3,760.5	119.0	3,879.5
Q4 2030	4,094.9	103.4	4,198.3

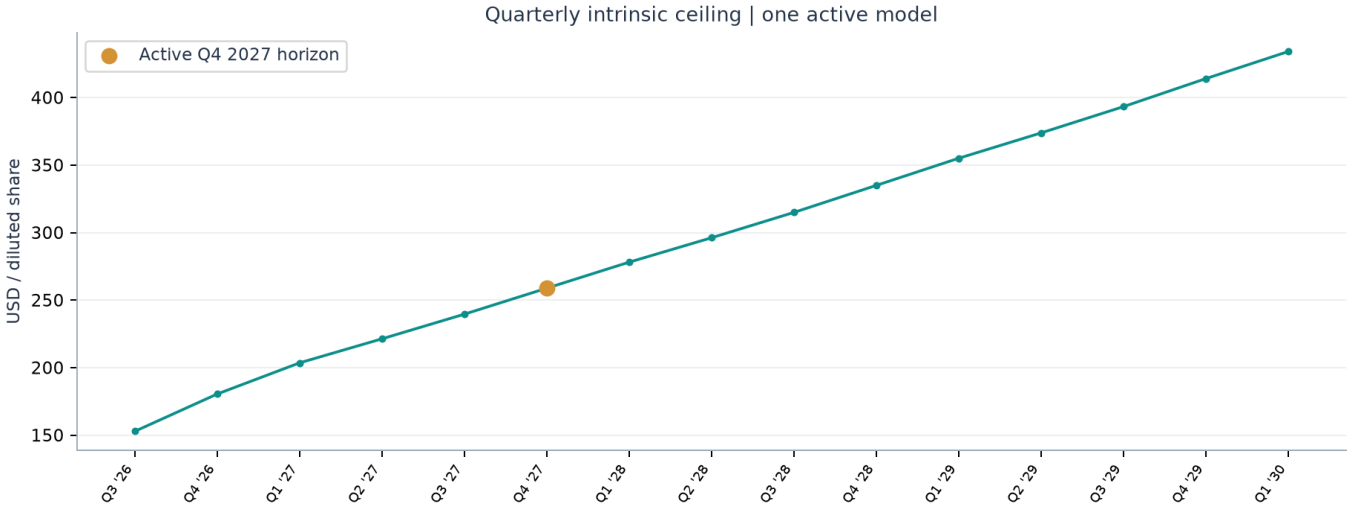
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	2,528.9	1,856.9	1,542.8	314.2	12.4%
Q4 2026	2,784.8	2,099.4	1,551.7	547.7	19.7%
Q1 2027	2,715.4	2,044.9	1,530.4	514.5	18.9%
Q2 2027	2,714.7	2,042.1	1,530.3	511.8	18.9%
Q3 2027	2,796.1	2,111.1	1,530.3	580.8	20.8%
Q4 2027	3,066.3	2,362.5	1,591.2	771.3	25.2%
Q1 2028	2,997.0	2,310.2	1,622.2	688.0	23.0%
Q2 2028	3,002.9	2,313.4	1,623.3	690.1	23.0%
Q3 2028	3,096.9	2,393.5	1,624.3	769.2	24.8%
Q4 2028	3,408.1	2,663.0	1,702.7	960.3	28.2%
Q1 2029	3,346.8	2,609.1	1,743.1	865.9	25.9%
Q2 2029	3,362.5	2,621.1	1,745.7	875.3	26.0%
Q3 2029	3,472.1	2,715.1	1,748.1	967.0	27.9%
Q4 2029	3,796.7	2,995.4	1,836.1	1,159.3	30.5%
Q1 2030	3,727.8	2,934.7	1,882.1	1,052.6	28.2%
Q2 2030	3,753.4	2,955.6	1,886.4	1,069.2	28.5%
Q3 2030	3,879.5	3,064.1	1,890.2	1,173.9	30.3%
Q4 2030	4,198.3	3,337.2	1,977.3	1,359.9	32.4%

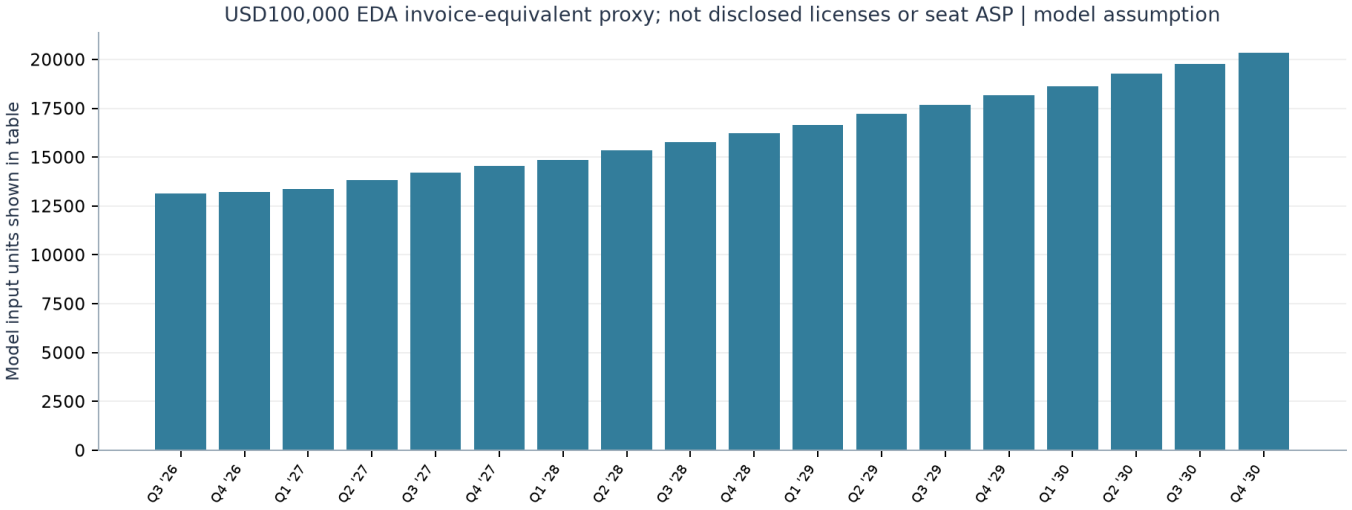
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	1,888.1	20x	191.400	152.87
Q4 2026	Q4 2026 to Q3 2027	2,154.8	20x	191.650	180.50
Q1 2027	Q1 2027 to Q4 2027	2,378.4	20x	191.900	203.57
Q2 2027	Q2 2027 to Q1 2028	2,551.9	20x	192.150	221.36
Q3 2027	Q3 2027 to Q2 2028	2,730.2	20x	192.400	239.61
Q4 2027	Q4 2027 to Q3 2028	2,918.6	20x	192.650	258.86
Q1 2028	Q1 2028 to Q4 2028	3,107.7	20x	192.900	278.13
Q2 2028	Q2 2028 to Q1 2029	3,285.6	20x	193.150	296.19
Q3 2028	Q3 2028 to Q2 2029	3,470.9	20x	193.400	314.97
Q4 2028	Q4 2028 to Q3 2029	3,668.6	20x	193.650	334.98
Q1 2029	Q1 2029 to Q4 2029	3,867.5	20x	193.900	355.07
Q2 2029	Q2 2029 to Q1 2030	4,054.2	20x	194.150	373.84
Q3 2029	Q3 2029 to Q2 2030	4,248.0	20x	194.400	393.30
Q4 2029	Q4 2029 to Q3 2030	4,454.9	20x	194.650	414.05
Q1 2030	Q1 2030 to Q4 2030	4,655.5	20x	194.900	434.11

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	USD100,000 EDA invoice-equivalent proxy; not disclosed licenses or seat ASP	Status
Q3 2026	13,140.000	Calendarized analytical forecast, not a reported calendar quarter
Q4 2026	13,216.667	Calendarized analytical forecast, not a reported calendar quarter
Q1 2027	13,383.333	Calendarized analytical forecast, not a reported calendar quarter
Q2 2027	13,841.667	Calendarized analytical forecast, not a reported calendar quarter
Q3 2027	14,208.333	Calendarized analytical forecast, not a reported calendar quarter
Q4 2027	14,534.667	Calendarized analytical forecast, not a reported calendar quarter
Q1 2028	14,855.500	Calendarized analytical forecast, not a reported calendar quarter
Q2 2028	15,364.250	Calendarized analytical forecast, not a reported calendar quarter
Q3 2028	15,771.250	Calendarized analytical forecast, not a reported calendar quarter
Q4 2028	16,231.160	Calendarized analytical forecast, not a reported calendar quarter
Q1 2029	16,638.160	Calendarized analytical forecast, not a reported calendar quarter
Q2 2029	17,207.960	Calendarized analytical forecast, not a reported calendar quarter

Quarter	USD100,000 EDA invoice-equivalent proxy; not disclosed licenses or seat ASP	Status
Q3 2029	17,663.800	Calendarized analytical forecast, not a reported calendar quarter
Q4 2029	18,178.899	Calendarized analytical forecast, not a reported calendar quarter
Q1 2030	18,634.739	Calendarized analytical forecast, not a reported calendar quarter
Q2 2030	19,272.915	Calendarized analytical forecast, not a reported calendar quarter
Q3 2030	19,783.456	Calendarized analytical forecast, not a reported calendar quarter
Q4 2030	20,360.367	Calendarized analytical forecast, not a reported calendar quarter

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Legacy EDA software, emulation and prototyping	1,314.0	83.2%	1,093.7
Q3 2026	Ansys simulation including zero-margin channel gross receipts	717.0	85.9%	615.9
Q3 2026	Standards-based IP license and support	497.9	84.0%	418.3
Q3 2026	AOIP license and customization fees, excluding contingent royalties	0.0	0.0%	0.0
Q3 2026	Stock compensation allocated to cost of sales	0.0	0.0%	-23.4
Q3 2026	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-247.5
Q4 2026	Legacy EDA software, emulation and prototyping	1,321.7	84.0%	1,110.2
Q4 2026	Ansys simulation including zero-margin channel gross receipts	944.0	86.5%	816.8
Q4 2026	Standards-based IP license and support	507.3	84.0%	426.2
Q4 2026	AOIP license and customization fees, excluding contingent royalties	20.0	90.0%	18.0
Q4 2026	Stock compensation allocated to cost of sales	0.0	0.0%	-24.0
Q4 2026	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-240.9
Q1 2027	Legacy EDA software, emulation and prototyping	1,338.3	84.0%	1,124.2
Q1 2027	Ansys simulation including zero-margin channel gross receipts	836.0	86.8%	726.0
Q1 2027	Standards-based IP license and support	520.7	84.0%	437.4
Q1 2027	AOIP license and customization fees, excluding contingent royalties	33.0	90.0%	29.7
Q1 2027	Stock compensation allocated to cost of sales	0.0	0.0%	-24.2
Q1 2027	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-237.5
Q2 2027	Legacy EDA software, emulation and prototyping	1,384.2	84.0%	1,162.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2027	Ansys simulation including zero-margin channel gross receipts	748.0	86.8%	649.6
Q2 2027	Standards-based IP license and support	557.3	84.0%	468.2
Q2 2027	AOIP license and customization fees, excluding contingent royalties	38.5	90.0%	34.6
Q2 2027	Stock compensation allocated to cost of sales	0.0	0.0%	-24.2
Q2 2027	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-237.5
Q3 2027	Legacy EDA software, emulation and prototyping	1,420.8	84.0%	1,193.5
Q3 2027	Ansys simulation including zero-margin channel gross receipts	759.0	86.8%	659.1
Q3 2027	Standards-based IP license and support	586.7	84.0%	492.8
Q3 2027	AOIP license and customization fees, excluding contingent royalties	43.5	90.0%	39.1
Q3 2027	Stock compensation allocated to cost of sales	0.0	0.0%	-24.2
Q3 2027	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-237.5
Q4 2027	Legacy EDA software, emulation and prototyping	1,453.5	84.0%	1,220.9
Q4 2027	Ansys simulation including zero-margin channel gross receipts	1,013.3	86.8%	880.0
Q4 2027	Standards-based IP license and support	562.3	84.0%	472.3
Q4 2027	AOIP license and customization fees, excluding contingent royalties	41.7	90.0%	37.5
Q4 2027	Stock compensation allocated to cost of sales	0.0	0.0%	-25.5
Q4 2027	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-221.0
Q1 2028	Legacy EDA software, emulation and prototyping	1,485.6	84.0%	1,247.9
Q1 2028	Ansys simulation including zero-margin channel gross receipts	902.9	86.8%	784.1
Q1 2028	Standards-based IP license and support	562.3	84.0%	472.3
Q1 2028	AOIP license and customization fees, excluding contingent royalties	44.0	90.0%	39.6
Q1 2028	Stock compensation allocated to cost of sales	0.0	0.0%	-26.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2028	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-212.7
Q2 2028	Legacy EDA software, emulation and prototyping	1,536.4	84.0%	1,290.6
Q2 2028	Ansys simulation including zero-margin channel gross receipts	807.8	86.8%	701.5
Q2 2028	Standards-based IP license and support	601.9	84.0%	505.6
Q2 2028	AOIP license and customization fees, excluding contingent royalties	51.3	90.0%	46.2
Q2 2028	Stock compensation allocated to cost of sales	0.0	0.0%	-26.2
Q2 2028	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-212.7
Q3 2028	Legacy EDA software, emulation and prototyping	1,577.1	84.0%	1,324.8
Q3 2028	Ansys simulation including zero-margin channel gross receipts	819.7	86.8%	711.9
Q3 2028	Standards-based IP license and support	633.6	84.0%	532.2
Q3 2028	AOIP license and customization fees, excluding contingent royalties	58.0	90.0%	52.2
Q3 2028	Stock compensation allocated to cost of sales	0.0	0.0%	-26.2
Q3 2028	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-212.7
Q4 2028	Legacy EDA software, emulation and prototyping	1,623.1	84.0%	1,363.4
Q4 2028	Ansys simulation including zero-margin channel gross receipts	1,094.4	86.8%	950.4
Q4 2028	Standards-based IP license and support	607.3	84.0%	510.1
Q4 2028	AOIP license and customization fees, excluding contingent royalties	54.7	90.0%	49.2
Q4 2028	Stock compensation allocated to cost of sales	0.0	0.0%	-27.6
Q4 2028	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-212.4
Q1 2029	Legacy EDA software, emulation and prototyping	1,663.8	84.0%	1,397.6
Q1 2029	Ansys simulation including zero-margin channel gross receipts	975.1	86.8%	846.8
Q1 2029	Standards-based IP license and support	607.3	84.0%	510.1

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2029	AOIP license and customization fees, excluding contingent royalties	57.2	90.0%	51.5
Q1 2029	Stock compensation allocated to cost of sales	0.0	0.0%	-28.3
Q1 2029	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-212.2
Q2 2029	Legacy EDA software, emulation and prototyping	1,720.8	84.0%	1,445.5
Q2 2029	Ansys simulation including zero-margin channel gross receipts	872.5	86.8%	757.7
Q2 2029	Standards-based IP license and support	650.1	84.0%	546.1
Q2 2029	AOIP license and customization fees, excluding contingent royalties	66.7	90.0%	60.1
Q2 2029	Stock compensation allocated to cost of sales	0.0	0.0%	-28.3
Q2 2029	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-212.2
Q3 2029	Legacy EDA software, emulation and prototyping	1,766.4	84.0%	1,483.8
Q3 2029	Ansys simulation including zero-margin channel gross receipts	885.3	86.8%	768.8
Q3 2029	Standards-based IP license and support	684.3	84.0%	574.8
Q3 2029	AOIP license and customization fees, excluding contingent royalties	75.4	90.0%	67.9
Q3 2029	Stock compensation allocated to cost of sales	0.0	0.0%	-28.3
Q3 2029	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-212.2
Q4 2029	Legacy EDA software, emulation and prototyping	1,817.9	84.0%	1,527.0
Q4 2029	Ansys simulation including zero-margin channel gross receipts	1,181.9	86.8%	1,026.4
Q4 2029	Standards-based IP license and support	655.9	84.0%	550.9
Q4 2029	AOIP license and customization fees, excluding contingent royalties	66.0	90.0%	59.4
Q4 2029	Stock compensation allocated to cost of sales	0.0	0.0%	-29.8
Q4 2029	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-211.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2030	Legacy EDA software, emulation and prototyping	1,863.5	84.0%	1,565.3
Q1 2030	Ansys simulation including zero-margin channel gross receipts	1,053.1	86.8%	914.6
Q1 2030	Standards-based IP license and support	655.9	84.0%	550.9
Q1 2030	AOIP license and customization fees, excluding contingent royalties	66.0	90.0%	59.4
Q1 2030	Stock compensation allocated to cost of sales	0.0	0.0%	-30.5
Q1 2030	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-211.4
Q2 2030	Legacy EDA software, emulation and prototyping	1,927.3	84.0%	1,618.9
Q2 2030	Ansys simulation including zero-margin channel gross receipts	942.3	86.8%	818.3
Q2 2030	Standards-based IP license and support	702.1	84.0%	589.7
Q2 2030	AOIP license and customization fees, excluding contingent royalties	77.0	90.0%	69.3
Q2 2030	Stock compensation allocated to cost of sales	0.0	0.0%	-30.5
Q2 2030	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-211.4
Q3 2030	Legacy EDA software, emulation and prototyping	1,978.3	84.0%	1,661.8
Q3 2030	Ansys simulation including zero-margin channel gross receipts	956.1	86.8%	830.3
Q3 2030	Standards-based IP license and support	739.0	84.0%	620.8
Q3 2030	AOIP license and customization fees, excluding contingent royalties	87.0	90.0%	78.3
Q3 2030	Stock compensation allocated to cost of sales	0.0	0.0%	-30.5
Q3 2030	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-211.4
Q4 2030	Legacy EDA software, emulation and prototyping	2,036.0	84.0%	1,710.3
Q4 2030	Ansys simulation including zero-margin channel gross receipts	1,276.5	86.8%	1,108.5
Q4 2030	Standards-based IP license and support	708.4	84.0%	595.0
Q4 2030	AOIP license and customization fees, excluding contingent royalties	74.0	90.0%	66.6

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2030	Stock compensation allocated to cost of sales	0.0	0.0%	-32.2
Q4 2030	Acquired-technology amortization allocated to cost of sales	0.0	0.0%	-210.9

Operating-cost derivation

Quarter	Research and development, including ordinary depreciation	Selling and administration, including ordinary depreciation	Operating stock compensation	Acquired customer and other operating-intangible amortization	Restructuring and integration
Q3 2026	642.0	428.0	210.5	155.0	107.4
Q4 2026	669.9	446.6	216.0	150.8	65.8
Q1 2027	684.6	456.4	218.2	148.7	18.8
Q2 2027	684.6	456.4	218.2	148.7	18.8
Q3 2027	684.6	456.4	218.2	148.7	18.8
Q4 2027	721.1	480.7	229.9	138.3	14.6
Q1 2028	739.3	492.9	235.7	133.1	12.5
Q2 2028	739.3	492.9	235.7	133.1	12.5
Q3 2028	739.3	492.9	235.7	133.1	12.5
Q4 2028	778.8	519.2	248.3	132.9	9.2
Q1 2029	798.5	532.3	254.6	132.8	7.5
Q2 2029	798.5	532.3	254.6	132.8	7.5
Q3 2029	798.5	532.3	254.6	132.8	7.5
Q4 2029	841.1	560.7	268.1	132.5	7.5
Q1 2030	862.4	574.9	274.9	132.3	7.5
Q2 2030	862.4	574.9	274.9	132.3	7.5
Q3 2030	862.4	574.9	274.9	132.3	7.5
Q4 2030	908.4	605.6	289.6	132.0	7.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	AI RENEWAL	55%	0.0	0.0	0.0	0.0
Q3 2026	AOIP PRODUCTION	65%	0.0	0.0	0.0	0.0
Q3 2026	LEGACY BUDGET RISK	30%	-0.0	-0.0	-0.0	0.0
Q3 2026	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0
Q4 2026	AI RENEWAL	55%	0.0	0.0	0.0	0.0
Q4 2026	AOIP PRODUCTION	65%	0.0	0.0	0.0	0.0
Q4 2026	LEGACY BUDGET RISK	30%	-27.5	-23.1	-2.7	-6.1
Q4 2026	INTEGRATION COST RISK	25%	0.0	0.0	13.3	-3.3
Q1 2027	AI RENEWAL	55%	0.0	0.0	0.0	0.0
Q1 2027	AOIP PRODUCTION	65%	0.0	0.0	0.0	0.0
Q1 2027	LEGACY BUDGET RISK	30%	-42.1	-35.4	-4.2	-9.4
Q1 2027	INTEGRATION COST RISK	25%	0.0	0.0	20.0	-5.0
Q2 2027	AI RENEWAL	55%	0.0	0.0	0.0	0.0
Q2 2027	AOIP PRODUCTION	65%	0.0	0.0	0.0	0.0
Q2 2027	LEGACY BUDGET RISK	30%	-44.5	-37.4	-4.4	-9.9
Q2 2027	INTEGRATION COST RISK	25%	0.0	0.0	20.0	-5.0
Q3 2027	AI RENEWAL	55%	0.0	0.0	0.0	0.0
Q3 2027	AOIP PRODUCTION	65%	0.0	0.0	0.0	0.0
Q3 2027	LEGACY BUDGET RISK	30%	-46.3	-38.9	-4.6	-10.3
Q3 2027	INTEGRATION COST RISK	25%	0.0	0.0	20.0	-5.0
Q4 2027	AI RENEWAL	55%	9.8	8.3	2.9	3.0
Q4 2027	AOIP PRODUCTION	65%	26.7	25.3	6.7	12.1
Q4 2027	LEGACY BUDGET RISK	30%	-90.6	-76.1	-9.1	-20.1
Q4 2027	INTEGRATION COST RISK	25%	0.0	0.0	13.3	-3.3
Q1 2028	AI RENEWAL	55%	14.9	12.6	4.5	4.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	AOIP PRODUCTION	65%	44.0	41.8	11.0	20.0
Q1 2028	LEGACY BUDGET RISK	30%	-115.0	-96.6	-11.5	-25.5
Q1 2028	INTEGRATION COST RISK	25%	0.0	0.0	10.0	-2.5
Q2 2028	AI RENEWAL	55%	15.4	13.1	4.6	4.6
Q2 2028	AOIP PRODUCTION	65%	51.3	48.8	12.8	23.4
Q2 2028	LEGACY BUDGET RISK	30%	-121.4	-102.0	-12.1	-26.9
Q2 2028	INTEGRATION COST RISK	25%	0.0	0.0	10.0	-2.5
Q3 2028	AI RENEWAL	55%	15.8	13.4	4.7	4.8
Q3 2028	AOIP PRODUCTION	65%	58.0	55.1	14.5	26.4
Q3 2028	LEGACY BUDGET RISK	30%	-126.5	-106.3	-12.7	-28.1
Q3 2028	INTEGRATION COST RISK	25%	0.0	0.0	10.0	-2.5
Q4 2028	AI RENEWAL	55%	27.2	23.1	8.2	8.2
Q4 2028	AOIP PRODUCTION	65%	78.7	74.7	19.7	35.8
Q4 2028	LEGACY BUDGET RISK	30%	-124.8	-104.8	-12.5	-27.7
Q4 2028	INTEGRATION COST RISK	25%	0.0	0.0	3.3	-0.8
Q1 2029	AI RENEWAL	55%	33.3	28.3	10.0	10.1
Q1 2029	AOIP PRODUCTION	65%	96.8	92.0	24.2	44.0
Q1 2029	LEGACY BUDGET RISK	30%	-126.1	-105.9	-12.6	-28.0
Q1 2029	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0
Q2 2029	AI RENEWAL	55%	34.4	29.3	10.3	10.4
Q2 2029	AOIP PRODUCTION	65%	112.9	107.3	28.2	51.4
Q2 2029	LEGACY BUDGET RISK	30%	-133.1	-111.8	-13.3	-29.5
Q2 2029	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0
Q3 2029	AI RENEWAL	55%	35.3	30.0	10.6	10.7
Q3 2029	AOIP PRODUCTION	65%	127.6	121.2	31.9	58.1
Q3 2029	LEGACY BUDGET RISK	30%	-138.6	-116.5	-13.9	-30.8
Q3 2029	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q4 2029	AI RENEWAL	55%	48.6	41.3	14.6	14.7
Q4 2029	AOIP PRODUCTION	65%	137.3	130.5	34.3	62.5
Q4 2029	LEGACY BUDGET RISK	30%	-136.9	-115.0	-13.7	-30.4
Q4 2029	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0
Q1 2030	AI RENEWAL	55%	55.9	47.5	16.8	16.9
Q1 2030	AOIP PRODUCTION	65%	154.0	146.3	38.5	70.1
Q1 2030	LEGACY BUDGET RISK	30%	-138.3	-116.2	-13.8	-30.7
Q1 2030	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0
Q2 2030	AI RENEWAL	55%	57.8	49.1	17.3	17.5
Q2 2030	AOIP PRODUCTION	65%	179.7	170.7	44.9	81.7
Q2 2030	LEGACY BUDGET RISK	30%	-145.9	-122.6	-14.6	-32.4
Q2 2030	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0
Q3 2030	AI RENEWAL	55%	59.4	50.4	17.8	18.0
Q3 2030	AOIP PRODUCTION	65%	203.0	192.8	50.8	92.4
Q3 2030	LEGACY BUDGET RISK	30%	-152.0	-127.7	-15.2	-33.7
Q3 2030	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0
Q4 2030	AI RENEWAL	55%	61.1	51.9	18.3	18.5
Q4 2030	AOIP PRODUCTION	65%	176.7	167.8	44.2	80.4
Q4 2030	LEGACY BUDGET RISK	30%	-150.2	-126.1	-15.0	-33.3
Q4 2030	INTEGRATION COST RISK	25%	0.0	0.0	0.0	0.0

Enterprise-to-equity reconciliation

20x quarter-plus-next-three fully expensed GAAP operating profit, less fixed USD8,502.78m opening net financial and operating-cash-reserve claims, divided by end-window diluted shares. No forecast cash balance addition.

Quarter	Reference claims	Weighted change	Total claims	Ceiling / share
Q3 2026	8,502.8	0.0	8,502.8	152.87
Q4 2026	8,502.8	0.0	8,502.8	180.50
Q1 2027	8,502.8	0.0	8,502.8	203.57
Q2 2027	8,502.8	0.0	8,502.8	221.36
Q3 2027	8,502.8	0.0	8,502.8	239.61
Q4 2027	8,502.8	0.0	8,502.8	258.86
Q1 2028	8,502.8	0.0	8,502.8	278.13
Q2 2028	8,502.8	0.0	8,502.8	296.19
Q3 2028	8,502.8	0.0	8,502.8	314.97
Q4 2028	8,502.8	0.0	8,502.8	334.98
Q1 2029	8,502.8	0.0	8,502.8	355.07
Q2 2029	8,502.8	0.0	8,502.8	373.84
Q3 2029	8,502.8	0.0	8,502.8	393.30
Q4 2029	8,502.8	0.0	8,502.8	414.05
Q1 2030	8,502.8	0.0	8,502.8	434.11
Q2 2030	8,502.8	0.0	8,502.8	-
Q3 2030	8,502.8	0.0	8,502.8	-
Q4 2030	8,502.8	0.0	8,502.8	-

Claim decisions, overlap and triggers

AI_RENEWAL

p: 0.55

source ids: investor_day investor_day_call q2_full_call q3_full_call

condition: Renewed contracts monetize incremental qualified tool capacity and agent use above the already guided FY27 adoption.

Conditional: From FY28, 20% of the legacy EDA revenue pool receives 5%, 10% and 15% additional invoice value in FY28, FY29 and FY30 respectively; FY31 holds 15%. FY27 increment is zero because AI and multiphysics are already in the FY27 baseline.

cost: 85% incremental gross margin less 30% incremental revenue for engineering, distribution, compute/service and SBC gives 55% incremental operating-profit capture.

overlap: One combined paid-capacity and agent-monetization branch. No separate 5-10x tool-call multiplier, multiphysics surcharge, or OpenAI revenue-share branch. Those are correlated manifestations of the same eligible wallet.

timing: Recognition follows renewals, deployment and consumption; calendarized from fiscal FY28 beginning November 2027.

AOIP_PRODUCTION

p: 0.65

source ids: investor_day investor_day_call

condition: Signed AOIP programs reach production and the royalty/customization portion scales beyond the reference license-fee path.

Conditional: The reference AOIP license/customization wallet is USD150m/200m/260m/300m in FY27-FY30. Conditional additions are USD0m/200m/440m/700m, bringing the successful FY30 wallet to USD1bn. FY31 reference USD330m plus conditional USD800m is a labeled extension.

cost: 95% gross margin less 25% incremental revenue for continued engineering, customer support and SBC; 70% incremental operating-profit capture. The issuer’s royalty-margin language is not treated as costless company profit.

overlap: The USD1bn Amazon multigeneration license agreement is not added to the USD1bn annual FY30 AOIP objective. Base license fees and probability-weighted production royalties/customization are separate; no customer chip-sales or wafer TAM allocation.

timing: No AOIP royalty increment in FY27. Production royalties begin FY28, ramping through FY29-FY30 after design and qualification.

LEGACY_BUDGET_RISK

p: 0.3

source ids: annual2025 q2_full_call investor_day_call

condition: Large customers consolidate licenses, defer non-AI design work or delay legacy IP drawdowns; export restrictions remain a headwind.

Conditional: At full severity, 8% lower receipts on 40% of legacy EDA and 12% lower standards-IP receipts. FY27 uses 40% of that severity; FY28 onward uses full severity.

cost: Lost product revenue removes 84% gross profit while only 10% variable operating expense is saved. Fixed R&D remains.

overlap: This branch touches baseline EDA and standards IP only. It does not separately cancel AOIP production or reprice the agent increment, avoiding a second haircut to the same growth wallet.

timing: Phased from FY27; no retroactive change to fiscal Q3/Q4 2026 actual/guided operating values.

INTEGRATION_COST_RISK

p: 0.25

source ids: investor_day q3_10q

condition: Ansys integration, technical support and retention cost more than the guide despite promised cost synergies.

Conditional: Additional USD80m expense in FY27 and USD40m in FY28; zero thereafter.

cost: All additional spending is operating expense and cash; no invented revenue uplift or extra synergy credit.

overlap: The USD400m synergy objective is already reflected in guided baseline expenses. This is an adverse execution reserve against that baseline, not a second synergy subtraction.

timing: FY27-FY28 integration and product rollout.

Remaining bounded uncertainties

- FY27 total revenue and GAAP expense calibration are official; the constant-scope product split, gross margins, COGS/opex allocations and all FY28+ forecasts are model assumptions. FY27 guidance is a reference, not a certainty.

- Amazon contractual license timing, royalty rates, eligible shipped units and cancellation provisions are undisclosed. The annual AOIP target cannot identify a per-chip royalty or prove that all customer-designed silicon ships.

- Tool-call growth, paid license capacity, subscription recognition and customer value are different units. The 20% eligible renewal pool and 5-15% invoice uplifts are bounded assumptions, not a disclosed price list.

- FY27 revenue already includes AI adoption, multiphysics and some AOIP license/customization. Assigning no separate FY27 positive increment avoids double counting; the future royalty branch has a nonzero 65% probability.

- Acquired amortization uses the disclosed schedule through FY30; USD1.37bn in FY31 is an explicit continuation estimate. Stock compensation is fully expensed and the share reserve is separately retained.

- The executed October 5 ASR costs USD1bn. Only the announced approximate 1.735m initial delivery is credited in the share path; future settlement prices and remaining shares are unknown. Net award issuance adds 0.25m shares per quarter thereafter.

- Valuation deducts a fixed USD8,502.78m opening net-claim reserve: gross face/deferred financing claims plus USD1bn operating cash less July liquidity after the full ASR. It deliberately gives no additional credit to forecast cash accumulation or debt paydown funded from that cash. The separate funding bridge checks feasibility but is not a second valuation cash addition.

- Funding uses 18% cash taxes, a 6% revenue cash-conversion reserve and 5.1% cash interest on remaining debt. These are planning assumptions; the FY27 active CFO/FCF cross-check is compared with official USD3.6bn/USD3.1bn guidance. No uncommitted borrowing capacity is used.

- The original SEC filing text was accessible through the web reader but direct binary downloads were blocked; valid issuer result PDFs and Investor Day originals are archived. Failed HTML/PDF downloads are explicitly excluded from the source catalog.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Fiscal Q3 2026 results and GAAP financial statements | 2026-08-26 | https://news.synopsys.com/2026-08-26-Synopsys-Posts-Financial-Results-for-Third-Quarter-Fiscal-Year-2026?asPDF=1 | Archived SHA-256: 3c5706ab0fe5f0f9b8603c81362bfcdca783a1b116c425ef304828ca13175976

[2] September 30 Investor Day long-term model announcement | 2026-09-30 | https://news.synopsys.com/2026-09-30-Synopsys-Details-Growth-Strategy-and-Long-term-Financial-Model-at-2026-Investor-Day?asPDF=1 | Archived SHA-256: 3eef7f6ec64efa0c9bf19d7522fdf63d2c7fa6d829e50171c13934e00b65a353

[3] Fiscal Q2 2026 prepared remarks | 2026-05-27 | https://s201.q4cdn.com/778493406/files/doc_earnings/2026/q2/transcript/SNPS_Q226_Prepared_Remarks.pdf | Archived SHA-256: 9ef9ca112c38932e78ee492d03eaa86ba47bb4414ea706261febd5f79bb1c6e8

[4] 2026 Investor Day original 119-page presentation | 2026-09-30 | https://s201.q4cdn.com/778493406/files/doc_presentations/2026/2026-09-30-Investor-Day_Presentation_All_Final.pdf | Archived SHA-256: f09f5b85c7ed3adf139fd75429f9ce5a9858be9ad8b559e08cdc33459b52be06

[5] Fiscal Q3 2026 complete management discussion and Q&A, Quartr transcription | 2026-08-26 | https://stockanalysis.com/stocks/snps/transcripts/681367-q3-2026/ | Archived SHA-256: 63b12ae74b513187620426ee79d5e569167d0ad95c2b75825d85658de0a27caa

[6] Investor Day complete management discussion and Q&A, Quartr transcription | 2026-09-30 | https://stockanalysis.com/stocks/snps/transcripts/682621-investor-day-2026/ | Archived SHA-256: 515dde10ef18c76e59bc89bcaf72f1038a2e3b67effb8afa295feadb9b8aca6b

[7] Executed USD1bn accelerated repurchase and initial 1.735m-share delivery | 2026-10-05 | https://news.synopsys.com/2026-10-05-Synopsys-Initiates-1-Billion-Accelerated-Share-Repurchase-Agreement | Archived SHA-256: 24a237653a0184593e430e43595f7d8abdbfaf879484cbc6f0f7611e91f61e12

[8] Fiscal Q2 2026 complete management discussion and Q&A, issuer spoken remarks transcribed by Motley Fool | 2026-05-27 | https://www.fool.com/earnings/call-transcripts/2026/05/27/synopsys-snps-q2-2026-earnings-transcript/ | Archived SHA-256: f80c6ac520228e366608f840b693b661f86b5c2956f534be62113689f2aa1744

[9] Dated closing price, S&P Global data distributed by Stock Analysis | 2026-10-07 | https://stockanalysis.com/stocks/snps/history/ | Archived SHA-256: 46677921ed97e012e3c5e2e5601178c5a83d08ff1cdffb0179b5f9e4015e28ce

[10] Synopsys original Form 10-Q, July 31 2026, including amortization, debt, shares and SBC notes | 2026-08-26 | https://www.sec.gov/Archives/edgar/data/883241/000088324126000025/snps-20260731.htm

[11] Synopsys original 2025 Form 10-K, business and competitive risk disclosures; accessible filing-text mirror | 2025-12-22 | https://financialfilings.com/filings/synopsys-inc/annual-report/2025/24732649/